



February 3, 2023

Senator Liz Brown
200 W. Washington Street
Indianapolis, IN 46204200

Senator Chip Perfect
Chair, Senate Commerce and Technology Committee
200 W. Washington Street
Indianapolis, IN 46204200

Senator Jon Ford
200 W. Washington Street
Indianapolis, IN 46204

Senator Eric Koch
Ranking Member, Senate Commerce and Technology Committee
200 W. Washington Street
Indianapolis, IN 46204

Senator Brian Buchanan
200 W. Washington Street
Indianapolis, IN 46204

RE: Oppose: Amendment #2 to Indiana SB 5

Dear Chair Perfect, Ranking Member Koch, Senator Brown, Senator Ford, and Senator Buchanan:

On behalf of the advertising industry, we strongly oppose Amendment #2 to Indiana SB 5, which would create the potential for private litigants to bring lawsuits for violations of the bill.¹ A private right of action should have no place in privacy legislation. Instead, enforcement should be vested with the Indiana Attorney General (“AG”), because such an enforcement structure would synchronously effectuate strong outcomes for Indiana residents while better enabling businesses to allocate funds to developing processes, procedures, and plans to facilitate compliance with new state data privacy requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

I. A private right of action in SB 5 would create a complex and flawed compliance system without tangible privacy benefits for consumers. Allowing private actions would flood Indiana’s courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm. Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices. Studies demonstrate that trial firms benefit immensely from these enforcement mechanisms instead of the consumers who are the basis for the claims. For instance, a study of 3,121 private actions under the Telephone Consumer Protection Act (“TCPA”) showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms.² Amounts paid out to consumers have proven to be insignificant, as only 4 to 8 percent of eligible claim members make themselves available for compensation from the settlement funds.³ Private

¹ Amendment #2 to Indiana SB 5 (Gen. Sess. 2023), located [here](#).

² U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* 2, 4, 11-15 (Aug. 2017), located at <https://instituteforlegalreform.com/research/tpa-litigation-sprawl-a-study-of-the-sources-and-targets-of-recent-tpa-lawsuits/>.

³ See U.S. Chamber Institute for Legal Reform, *Ill-Suited: Private Rights of Action and Privacy Claims* 7-8 (Jul. 2019), located at https://www.instituteforlegalreform.com/uploads/sites/1/III-Suited_-_Private_Rights_of_Action_and_Privacy_Claims_Report.pdf.



enforcement thus creates an environment that enriches a select few attorneys while providing only nominal benefits to consumers with viable claims.

II. A private right of action in SB 5 would have a chilling effect on the state's economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that would not effectively address consumer privacy concerns or deter undesired business conduct. A private right of action would expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. It would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.

III. The resulting snarl of litigation could create a chaotic and inconsistent enforcement framework that would harm small businesses the most. Overall, a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers, and small businesses would bear the brunt of the impact. This amendment would open the floodgates of potential litigation against Indiana's small businesses.

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We and our members support protecting consumer privacy. We believe, however, that Amendment #2 to SB 5 takes the wrong approach to privacy enforcement. We therefore respectfully ask you to decline to advance the amendment. Thank you in advance for your consideration of this letter.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers

Alison Pepper
Executive Vice President, Government Relations
American Association of Advertising Agencies, 4A's

Lartase Tiffith
Executive Vice President for Public Policy
Interactive Advertising Bureau

Clark Rector
Executive VP-Government Affairs
American Advertising Federation

Lou Mastria, CIPP, CISSP
Executive Director
Digital Advertising Alliance

CC: Mike Signorelli, Venable LLP
Allie Monticollo, Venable LLP